

Investing activities include cash transactions related to the acquisition or sale of long-term assets, such as property, equipment, or investments. Examining these activities helps assess a company's investment decisions and potential for future growth.

2.3.3 Financing Activities

Financing activities involve cash transactions with a company's owners and creditors. This includes issuing or repurchasing stock, paying dividends, and obtaining or repaying debt. Understanding financing activities is crucial for assessing a company's capital structure and financial strategy.

2.4 Ratios and Metrics for Financial Statement Analysis

Financial ratios and metrics provide quantitative insights into a company's performance and financial health. Common ratios include:

- **Liquidity Ratios:** Such as the current ratio and quick ratio, assess a company's ability to meet its short-term obligations.
- **Profitability Ratios:** Including return on equity (ROE) and gross margin, evaluate a company's ability to generate profits.
- **Solvency Ratios:** Like debt-to-equity ratio, measure a company's long-term solvency and financial leverage.

These ratios, among others, serve as valuable tools for investors to compare companies within an industry and make informed investment decisions based on financial statement analysis. In subsequent chapters, we will explore how to interpret these ratios and integrate them into a comprehensive fundamental analysis.